

COMMERCIAL LEASE AGREEMENT

512 Paterson Plank Road

PART 1: BASIC LEASE PROVISIONS AND IDENTIFICATION OF PARTIES

This Commercial Lease Agreement ("Lease") is entered into this 1st day of January, 2024 (the "Effective Date"), by and between **Diamond Tech Group, Limited Liability Company**, with a principal place of business at 512 Paterson Plank Road, Jersey City, New Jersey 07307 (hereinafter referred to as "Landlord"), and **BK Grill**, a New Jersey Corporation, with its flagship location to be established at the Demised Premises (hereinafter referred to as "Tenant").

1.1 THE PREMISES

The Landlord, for and in consideration of the rents, covenants, and agreements hereinafter reserved and contained on the part of the Tenant to be paid, kept, and performed, does hereby demise and lease unto the Tenant, and the Tenant does hereby hire from the Landlord, the following described property (the "Premises" or "Demised Premises"):

- **Address:** 512 Paterson Plank Road, Jersey City, Hudson County, New Jersey, 07307.
- **Legal Description:** Block 503, Lot 21, City of Jersey City.
- **Building Description:** A two-story restaurant building consisting of approximately 6,538 square feet (sf) of interior space.
- **Ancillary Spaces:** The Premises includes a 2,910-sf roof deck, a 909-sf basement (containing walk-in coolers, food preparation areas, and employee lockers), and a 3,996-sf land site.
- **Condition:** The building, constructed circa 1887 and gut-renovated circa 2018, features a first-floor vaulted ceiling, bar areas on multiple levels, a DJ area on the second floor, and a stainless steel dumbwaiter serving all levels.

1.2 LEASE TERM

- **Initial Term:** The term of this Lease shall be for ten (10) years (the "Initial Term"), commencing on February 1, 2024 (the "Commencement Date") and expiring on January 31, 2034, unless sooner terminated or extended as provided herein.
- **Option to Renew:** Tenant shall have two (2) successive options to extend the term of this Lease for five (5) years each (each an "Extension Term"). To exercise an option, Tenant must provide written notice to Landlord no less than nine (9) months prior to the expiration of the then-current term.

1.3 FIXED BASE RENT Tenant shall pay to Landlord a monthly Fixed Base Rent in accordance with the following schedule, calculated based on the market rates for the various sections of the property:

- **Year 1:** \$24,218.33 per month (\$290,620.00 per annum). This is based on \$40/sf for the 3,628 sf first floor, \$30/sf for the 2,910 sf second floor, and \$20/sf for the 2,910 sf roof deck.
- **Year 2-10:** The Fixed Base Rent shall increase annually by 3% over the previous year's rent on the anniversary of the Commencement Date.

1.4 SECURITY DEPOSIT

Upon execution of this Lease, Tenant shall deposit with Landlord the sum of **\$72,655.00** (representing three months of the initial Fixed Base Rent) as security for the faithful performance by Tenant of all the terms and conditions of this Lease.

1.5 PERMITTED USE The Premises shall be used and occupied solely for the operation of a high-end restaurant, bar, and nightlife venue, consistent with its flagship status as "BK Grill," and for no other purpose without the prior written consent of Landlord. This use is a legal, non-conforming use in the R-1 One and Two-Family Housing zone.

PART 2: RENT ADJUSTMENTS, TAXES, AND OPERATING EXPENSES

2.1 PERCENTAGE RENT In addition to the Fixed Base Rent set forth in Section 1.3, Tenant shall pay to Landlord as "Percentage Rent" an amount equal to six percent (6%) of the amount by which Tenant's "Gross Sales" (as defined herein) exceed a "Breakpoint" of \$4,500,000.00 per lease year.

- **Definition of Gross Sales:** "Gross Sales" shall mean the entire amount of the sales price of all food, beverages (alcoholic and non-alcoholic), and merchandise sold, and the full charge for all services rendered in connection with the business conducted on the Premises, whether for cash or credit, including take-out and delivery orders. Gross Sales shall exclude sales taxes, returns to shippers, and employee meals.
- **Reporting:** Tenant shall submit to Landlord a statement of Gross Sales within thirty (30) days following the end of each Lease Year, certified by a Certified Public Accountant.

2.2 TRIPLE NET (NNN) LEASE STRUCTURE This is a "Triple Net Lease," it being the intention of the parties that the Fixed Base Rent shall be net to Landlord. Tenant shall pay all costs and expenses related to the Premises, including but not limited to Real Estate Taxes, Insurance, and Common Area Maintenance (CAM), as additional rent.

2.3 REAL ESTATE TAXES

- **Payment:** Tenant shall be responsible for one hundred percent (100%) of all Real Estate Taxes levied against the Premises (Block 503, Lot 21). Based on the 2021 assessment of \$1,053,300 and the tax rate of \$1.604 per \$100 of assessed value, the estimated annual tax is **\$16,894.93**.

- **Tax Escalations:** Tenant shall pay any increases in Real Estate Taxes over the course of the Term. If Landlord receives a tax bill, Tenant shall remit payment to Landlord within fifteen (15) days of receipt of an invoice.
- **Right to Contest:** Tenant shall have the right, at its sole cost and expense, to contest the validity or amount of any tax assessment, provided that such contest does not result in a lien or forfeiture of the Landlord's interest in the property.

2.4 INSURANCE OBLIGATIONS Tenant shall, at its own expense, maintain the following insurance policies:

- **Commercial General Liability:** A policy with a minimum limit of \$2,000,000 per occurrence and \$5,000,000 in the aggregate, naming Landlord and any mortgagee as "Additional Insureds."
- **Liquor Liability (Dram Shop):** Given the nature of BK Grill's operations, Tenant must maintain Liquor Liability insurance with limits of no less than \$2,000,000.
- **Property Insurance:** "All Risk" property insurance covering the building and all leasehold improvements, including the 2018 gut renovation components, for the full replacement value (estimated at approximately \$3,200,000.00).
- **Business Interruption:** Insurance covering at least twelve (12) months of Fixed Base Rent and operating expenses.

2.5 UTILITIES Tenant shall be responsible for the direct payment of all utility services to the Premises, including but not limited to electricity, gas, water, sewer, trash removal, and telecommunications.

- **Separately Metered:** Tenant acknowledges that the Premises are separately metered.
- **HVAC Maintenance:** Tenant shall maintain a service contract for the heating, ventilation, and air conditioning (HVAC) systems, including the specialized units serving the 2,910-sf roof deck and the kitchen exhaust systems.

2.6 COMMON AREA MAINTENANCE (CAM) While the Premises is a single-tenant building, Tenant is responsible for all exterior maintenance including:

- Snow and ice removal from the Paterson Plank Road frontage.
- Maintenance of the outdoor lighting and signage.
- Upkeep of the 3,996-sf land site and any landscaping.
- Maintenance of the 909-sf basement area, ensuring proper drainage and sump pump operation to prevent flooding of food storage areas.

PART 3: CONSTRUCTION, ALTERATIONS, AND SPECIALIZED EQUIPMENT

3.1 LEASEHOLD IMPROVEMENTS AND CONDITION Tenant acknowledges that the Premises underwent a comprehensive gut renovation and expansion circa 2018. The Premises are delivered in "as-is" condition, featuring:

- **Structural Elements:** Wood frame and steel beam construction with a concrete slab foundation bearing on grade beams and footings.
- **Interior Finishes:** A first floor featuring a part-vaulted ceiling, a partial second floor with a dedicated DJ area, and high-end bar installations on multiple levels.
- **Building Systems:** Commercial-grade HVAC systems, specialized kitchen ventilation mechanical equipment located at the rear of the site, and a full building sprinkler system.

3.2 THE DUMBWAITER SYSTEM A critical component of the Premises is the integrated stainless steel dumbwaiter system.

- **Functionality:** The dumbwaiter provides essential food and service access from the primary kitchen located on the first floor to both the second-floor dining area and the 2,910-sf rooftop deck.
- **Maintenance:** Tenant shall, at its sole cost, maintain a service and inspection contract with a licensed elevator or lift technician to ensure the dumbwaiter remains in good working order. Any replacement of the unit, estimated at a base cost of \$25,300.00, shall be the responsibility of the Tenant if necessitated by misuse or lack of maintenance.

3.3 KITCHEN AND FOOD PREPARATION AREAS

The Premises include specialized areas for high-volume flagship operations:

- **Main Kitchen:** Located on the first floor, equipped with standard commercial connections.
- **Basement Preparation Area:** The 909-sf basement contains dedicated food preparation areas, walk-in coolers, and a beer refrigerator.
- **Equipment Maintenance:** Tenant is responsible for the maintenance, repair, and eventual replacement of all "Front of House" and "Back of House" equipment, including the specialized refrigeration units in the basement and the bars on the first, second, and rooftop levels.

3.4 ROOFTOP DECK SPECIFICATIONS The 2,910-sf rooftop deck is a primary feature of the "BK Grill" flagship experience.

- **Installations:** The roof deck includes a covered bar, two dedicated bathrooms, and canopy seating.
- **Load Limits:** Tenant shall not exceed the structural load limits of the rooftop, which features a flat roof with a roll membrane cover and metallic paint.
- **Compliance:** Tenant must ensure all rooftop operations comply with local Jersey City noise ordinances, particularly regarding the DJ area and outdoor bar activities.

3.5 ALTERATIONS AND ADDITIONS

Tenant shall not make any structural alterations to the Premises without the prior written consent of the Landlord.

- **Non-Structural Changes:** Tenant may perform cosmetic interior branding and non-structural changes consistent with the "BK Grill" brand identity, provided such work does not affect the building's 2018 gut-renovation integrity.
- **Permits:** All work must be performed by licensed contractors with valid permits from the City of Jersey City.

PART 4: REPAIRS, MAINTENANCE, AND COMPLIANCE WITH LAWS

4.1 TENANT'S REPAIR OBLIGATIONS Tenant shall, at all times during the Term and any Extension Term, and at its sole cost and expense, keep and maintain the entire Premises in a first-class, "flagship" condition. This includes, but is not limited to:

- **Structural and Non-Structural Maintenance:** Repairing and maintaining all interior walls, floors, ceilings, and windows.
- **Building Systems:** Full responsibility for the 2018-renovated mechanical, electrical, plumbing, and life-safety systems.
- **Specialized Restaurant Infrastructure:** Frequent cleaning and maintenance of the kitchen exhaust hoods, grease traps (which must be pumped monthly at a minimum cost of \$850.00 per service), and the stainless steel dumbwaiter system.
- **The "BK Grill" Exterior:** Maintaining the facade, including the 2018-installed architectural elements, ensuring no graffiti or deterioration is present on the Paterson Plank Road frontage.

4.2 ROOFTOP AND DECK MAINTENANCE Given the 2,910-sf rooftop deck's exposure to the elements and its role as a high-traffic bar area:

- **Drainage:** Tenant must ensure all roof drains are kept clear of debris, particularly after high-wind events common to the Jersey City heights.
- **Waterproofing:** Tenant shall not pierce the roof membrane for any reason (e.g., mounting speakers or additional heaters) without Landlord's express written engineering approval.
- **Restrooms:** Tenant is responsible for the winterization and maintenance of the two (2) rooftop bathrooms to prevent pipe bursts during Hudson County winter freeze cycles.

4.3 LANDLORD'S REPAIR OBLIGATIONS Landlord's obligations are limited strictly to the structural integrity of the foundation and the primary load-bearing steel beams. However, if any repair to these elements is necessitated by the Tenant's specialized equipment (such as the vibration from the second-floor DJ area or the weight of the rooftop bar installations), the cost of such repair shall be reimbursed by Tenant to Landlord within ten (10) days of demand.

4.4 COMPLIANCE WITH LAWS AND ZONING

- **Legal Non-Conforming Use:** Tenant acknowledges that the Premises is located in an R-1 (One and Two-Family Housing) zone and operates as a legal, non-conforming restaurant/bar. Tenant shall do nothing to jeopardize this status.
- **Health and Safety:** Tenant shall comply with all Hudson County Health Department regulations. BK Grill must maintain a "Satisfactory" rating at all times.
- **ADA Compliance:** As the building was gut-renovated in 2018, it is intended to be ADA compliant. Tenant is responsible for ensuring that all furniture layouts and "BK Grill" specific installations do not obstruct required clearances or accessibility paths.
- **Fire Codes:** Regular inspections of the fire sprinkler system and fire extinguishers, as required by Jersey City Fire Department, shall be conducted at Tenant's expense.

4.5 LANDLORD'S RIGHT OF ENTRY Landlord, or Landlord's agents, shall have the right to enter the Premises at all reasonable times (and at any time in case of emergency) to:

- Inspect the condition of the 2018 renovations.
- Verify the maintenance of the dumbwaiter and HVAC systems.
- Show the Premises to prospective mortgagees or, during the final twelve (12) months of the Term, to prospective tenants.
- Landlord shall endeavor to provide twenty-four (24) hours' notice and minimize disruption to BK Grill's dinner service.

4.6 WASTE DISPOSAL Tenant shall provide for the daily removal of all refuse and recycling. No trash containers shall be permitted to remain on the sidewalk of Paterson Plank Road except during designated pickup windows. Tenant shall contract with a private carting company for a minimum of six (6) pickups per week, given the high-volume nature of the flagship operation.

PART 5: SIGNAGE, BRANDING, QUIET ENJOYMENT, AND ASSIGNMENT

5.1 SIGNAGE AND EXTERIOR BRANDING As the flagship location for **BK Grill**, Tenant shall have the right to install high-quality, professional signage on the exterior of the building, subject to the following:

- **Compliance:** All signs must comply with Jersey City zoning ordinances and the specific regulations governing the Paterson Plank Road corridor.
- **Landlord Approval:** Tenant shall submit detailed renderings of all proposed "BK Grill" signage, including dimensions, materials, and lighting specifications (e.g., LED backlighting or neon), to Landlord for written approval, which shall not be unreasonably withheld.
- **Maintenance:** Tenant is responsible for the electrical costs and maintenance of all signage. Any damage to the 2018-renovated facade caused by sign installation or removal must be repaired at Tenant's expense to a "like-new" condition.
- **Rooftop Branding:** Tenant may install branding elements on the 2,910-sf rooftop deck, provided they do not exceed the height restrictions or create a wind-load hazard for the structural steel frame.

5.2 QUIET ENJOYMENT Landlord covenants and agrees that Tenant, upon paying the Fixed Base Rent (\$24,218.33/month initially) and performing all covenants and conditions of this Lease, shall peaceably and quietly have, hold, and enjoy the Premises (including the 909-sf basement and the 2,910-sf roof deck) for the Term hereof, without hindrance or molestation by Landlord or any person claiming by, through, or under Landlord.

5.3 ASSIGNMENT AND SUBLETTING

- **General Restriction:** Tenant shall not assign this Lease or sublet any portion of the 6,538-sf interior or the rooftop deck without the prior written consent of Landlord.
- **Flagship Protection:** Because this Lease is granted specifically to "BK Grill" based on its reputation as a flagship local restaurant, any proposed assignee must demonstrate a comparable net worth (minimum \$5,000,000.00) and at least ten (10) years of experience in high-volume restaurant management.
- **Permitted Transfer:** Tenant may assign this Lease without Landlord's consent to an entity controlled by, or under common control with, BK Grill, provided the "BK Grill" brand identity and operational standards remain unchanged.
- **Landlord's Profit Participation:** In the event of an approved assignment or sublease where the rent received by Tenant exceeds the Rent payable to Landlord under this Lease, Landlord shall be entitled to fifty percent (50%) of such "excess rent."

5.4 LIENS Tenant shall keep the Premises and the property (Block 503, Lot 21) free from any liens arising out of any work performed, materials furnished, or obligations incurred by or for Tenant. If a mechanic's lien is filed, Tenant must discharge or bond over said lien within twenty (20) days of notice, or be in material default of this Lease.

5.5 ESTOPPEL CERTIFICATES Within ten (10) days after a request by Landlord, Tenant shall execute and deliver an Estoppel Certificate certifying that this Lease is in full force and effect, the date to which rent has been paid, and that there are no uncured defaults by Landlord. This is essential for Landlord's ongoing relationship with financial institutions like Provident Bank.

PART 6: INSURANCE, INDEMNIFICATION, AND LIABILITY

6.1 TENANT'S COMPREHENSIVE INSURANCE REQUIREMENTS In addition to the requirements set forth in Section 2.4, Tenant shall maintain the following coverages throughout the Term, ensuring the "BK Grill" operations are fully protected against the specific risks associated with a high-volume flagship restaurant and nightlife venue:

- **Commercial General Liability (CGL):** Limits of not less than **\$2,000,000.00** per occurrence and **\$5,000,000.00** general aggregate. This policy must include coverage for personal injury, advertising injury, and products-completed operations.
- **Liquor Liability (Dram Shop):** Given the multi-level bar operations (first floor, second floor, and the 2,910-sf roof deck), Tenant shall maintain a minimum of **\$3,000,000.00** in Liquor Liability coverage.

- **Workers' Compensation:** Statutory limits as required by the State of New Jersey, including Employer's Liability with a limit of at least **\$1,000,000.00**.
- **Umbrella/Excess Liability:** Tenant shall maintain an umbrella policy of at least **\$10,000,000.00** to sit above the primary CGL and Liquor Liability policies.
- **Business Personal Property:** Coverage for the full replacement cost of all Tenant-owned kitchen equipment, bar fixtures, furniture, and specialized DJ equipment located in the second-floor DJ area.

6.2 LANDLORD'S INSURANCE Landlord shall maintain "All Risk" property insurance on the building structure (6,538 sf) and the 2018-renovated shell. The cost of the premium for this insurance (estimated at **\$12,450.00** annually) shall be reimbursed by Tenant to Landlord as Additional Rent.

6.3 INDEMNIFICATION To the fullest extent permitted by law, Tenant shall defend, indemnify, and hold harmless Landlord, its members (including Diamond Tech Group, LLC), and its mortgagees (including Provident Bank) from and against any and all claims, damages, losses, and expenses (including reasonable attorneys' fees) arising out of or resulting from:

- The use and occupancy of the Premises by BK Grill, its employees, agents, or invitees.
- Any activity, work, or thing done or permitted by Tenant in or about the Premises (including the 3,996-sf land site).
- Any breach or default in the performance of any obligation on Tenant's part to be performed under the terms of this Lease.
- Any injury or death to persons or damage to property occurring on the 2,910-sf rooftop deck or the 909-sf basement area.

6.4 WAIVER OF SUBROGATION Landlord and Tenant each hereby release the other from any and all liability or responsibility to the other or anyone claiming through or under them by way of subrogation or otherwise for any loss or damage to property caused by fire or any of the extended coverage casualties, even if such fire or other casualty shall have been caused by the fault or negligence of the other party.

6.5 PLATE GLASS INSURANCE Tenant shall be responsible for the maintenance and replacement of all plate glass on the Premises, including the large storefront windows on Paterson Plank Road and the glass railings on the rooftop deck. Tenant shall maintain a specific plate glass insurance policy or self-insure this risk, provided that any broken glass is replaced within forty-eight (48) hours.

6.6 POLLUTION LIABILITY Due to the presence of large cooking facilities and grease traps, Tenant shall maintain pollution liability insurance in an amount not less than **\$1,000,000.00** to cover any accidental discharge into the Jersey City sewer system or local environment.

PART 7: DAMAGE, DESTRUCTION, AND CONDEMNATION

7.1 TOTAL OR PARTIAL DESTRUCTION If the Premises (the 6,538-sf building and 2,910-sf rooftop) shall be damaged by fire, the elements, or other casualty, Tenant shall give immediate notice thereof to Landlord.

- **Minor Damage:** If the damage is such that the "BK Grill" can continue to operate or can be repaired within one hundred twenty (120) days, Landlord shall proceed with reasonable diligence to repair the damage to the 2018-renovated shell. Fixed Base Rent shall be abated proportionately to the portion of the Premises rendered unusable.
- **Major Damage:** If the Premises are rendered wholly untenable, or if the building is damaged to the extent of fifty percent (50%) or more of its replacement cost (estimated at **\$3,200,000.00**), Landlord may elect to terminate this Lease by giving Tenant written notice within thirty (30) days after the occurrence.
- **Tenant's Fault:** If the fire or casualty is caused by the negligence of BK Grill (e.g., a kitchen fire originating in the first-floor range or a grease trap flare-up), there shall be no abatement of rent, and Tenant shall be liable for the deductible on Landlord's insurance policy (up to **\$25,000.00**).

7.2 RESTORATION OF LEASEHOLD IMPROVEMENTS In the event of restoration, Landlord is only responsible for restoring the building to the "vanilla box" state of the 2018 gut renovation. Tenant, at its sole cost, shall be responsible for the restoration of all BK Grill-specific installations, including the stainless steel dumbwaiter, the three (3) bar areas, the DJ booth, and the rooftop canopy system.

7.3 EMINENT DOMAIN (CONDEMNATION)

- **Total Taking:** If the entire 3,996-sf land site or the 6,538-sf building is taken by the City of Jersey City or any other authority under the power of eminent domain, this Lease shall terminate as of the date of the taking.
- **Partial Taking:** If a portion of the Premises is taken (such as a widening of Paterson Plank Road that impacts the front entrance) which renders the Premises unsuitable for a flagship restaurant operation, Tenant shall have the right to terminate this Lease.
- **Award Distribution:** All compensation awarded for any taking of the fee simple interest in the land and building shall belong to Landlord. However, Tenant shall have the right to claim against the condemning authority for the value of BK Grill's trade fixtures, moving expenses, and "goodwill" loss, provided such claim does not diminish Landlord's award.

7.4 TEMPORARY TAKING In the event of a temporary taking (e.g., for Hudson County utility repairs on Paterson Plank Road lasting more than 30 days), this Lease shall not terminate, but the Fixed Base Rent shall be abated for the period of the taking in proportion to the interference with BK Grill's business operations.

PART 8: DEFAULT, REMEDIES, AND TERMINATION

8.1 EVENTS OF DEFAULT The occurrence of any of the following shall constitute a "Material Event of Default" by Tenant:

- **Monetary Default:** Failure to pay the Fixed Base Rent of **\$24,218.33** or any Additional Rent (Taxes, Insurance, CAM) within five (5) days of the due date.
- **Non-Monetary Default:** Failure to perform any other covenant (such as maintaining the dumbwaiter or the 2018-spec HVAC) within twenty (20) days after written notice.
- **Abandonment:** Vacating the Premises for more than ten (10) consecutive days, as a flagship restaurant presence is vital to the property's valuation.
- **Insolvency:** The filing of bankruptcy by BK Grill or its principals.
- **Liquor License Loss:** The suspension or revocation of Tenant's liquor license for a period exceeding thirty (30) days.

8.2 LANDLORD'S REMEDIES Upon an Event of Default, Landlord shall have the right to:

- **Terminate the Lease:** Re-enter the Premises and remove all persons and property.
- **Accelerate Rent:** Declare the entire unpaid balance of Fixed Base Rent for the remainder of the Initial Term (potentially millions of dollars) immediately due and payable, discounted to present value at 4%.
- **Re-letting:** Attempt to re-let the 6,538-sf space, holding Tenant liable for the "Deficiency" (the difference between the original rent and the new rent, plus all brokerage commissions and "white-boxing" costs).
- **Late Fees:** Any rent not paid by the 5th of the month shall incur a late fee of **\$1,210.92** (5% of monthly rent) plus interest at 12% per annum.

PART 9: ENVIRONMENTAL MATTERS AND BASEMENT UTILIZATION

9.1 HAZARDOUS SUBSTANCES DEFINED For the purposes of this Lease, "Hazardous Substances" shall mean any material, waste, or substance that is regulated by the New Jersey Department of Environmental Protection (NJDEP) or the Environmental Protection Agency (EPA), including but not limited to petroleum products, cleaning solvents used for industrial kitchen maintenance, and waste cooking oils.

9.2 TENANT'S ENVIRONMENTAL COVENANTS Tenant, operating as BK Grill, shall not cause or permit any Hazardous Substances to be brought upon, kept, or used in or about the 6,538-sf Premises or the 3,996-sf land site, except for such substances as are customarily used in the operation of a high-end restaurant and nightlife venue.

- **Storage:** All cleaning chemicals and sanitation supplies must be stored in the 909-sf basement in compliance with Occupational Safety and Health Administration (OSHA) standards.
- **Disposal:** Tenant shall be responsible for the legal disposal of all "Yellow Grease" (used cooking oil). BK Grill must contract with a certified grease recycling service and maintain records of all pickups for Landlord's inspection.
- **No Underground Tanks:** Tenant is strictly prohibited from installing any underground storage tanks. Landlord notes the 2018 renovation confirmed the absence of legacy tanks.

on the property; Tenant shall do nothing to disturb the soil or foundation that could trigger an ISRA (Industrial Site Recovery Act) filing.

9.3 THE 909-SF BASEMENT UTILIZATION The basement area is a critical component of the "BK Grill" flagship infrastructure.

- **Permitted Use:** Use of the 909-sf basement is restricted to food preparation, refrigerated storage (walk-in coolers), dry goods storage, and employee locker facilities.
- **Flooding and Drainage:** Given the topography of Paterson Plank Road, the basement is equipped with a high-capacity sump pump system installed during the 2018 gut renovation. Tenant is responsible for the monthly testing of this system. Landlord shall not be liable for any loss of inventory (liquor or food) resulting from pump failure or flash flooding unless caused by Landlord's gross negligence.
- **Ventilation:** Tenant must maintain the specialized mechanical ventilation system serving the basement food prep area to ensure air quality and moisture control.

9.4 INDEMNIFICATION FOR ENVIRONMENTAL CLAIMS Tenant shall indemnify, defend, and hold Landlord harmless from any and all claims, administrative proceedings, and clean-up costs (including NJDEP fines) arising from a breach of this Article 9. This indemnification shall survive the expiration or earlier termination of the Lease.

PART 10: RULES AND REGULATIONS

10.1 NOISE CONTROL AND THE DJ AREA The second floor of the Premises contains a dedicated DJ area. Tenant acknowledges that the property is adjacent to residential zones (R-1).

- **Decibel Limits:** Tenant shall install a noise-limiting device on all sound amplification equipment to ensure that sound levels do not exceed 65 decibels at the property line after 10:00 PM on weekdays and 11:00 PM on weekends.
- **Vibration:** Tenant shall ensure that the high-output subwoofers in the DJ area are mounted on vibration-dampening pads to prevent structural fatigue to the 2018-renovated steel frame.

10.2 ROOFTOP DECK CONDUCT The 2,910-sf rooftop deck is a privilege of this Lease.

- **Capacity:** Tenant shall never exceed the maximum occupancy load as determined by the Jersey City Fire Marshal.
- **Glassware:** To prevent injury, Tenant shall use high-quality, shatterproof polycarbonate "glassware" for all beverage service on the rooftop deck.
- **Closing Time:** All service on the rooftop deck must cease by 12:30 AM to remain in compliance with the neighborhood's "Quiet Hours" expectations.

10.3 PEST CONTROL Due to the high-volume food service nature of BK Grill, Tenant shall maintain a twice-monthly professional pest control contract. Failure to provide proof of service upon request shall be deemed a non-monetary default.

PART 11: SUBORDINATION, ATTORNMENT, AND ESTOPPEL

11.1 SUBORDINATION OF LEASE This Lease, and all rights of Tenant hereunder, are and shall be subject and subordinate to all ground leases, overriding leases, and to all mortgages of the fee simple interest in the Property (Block 503, Lot 21) that may now or hereafter affect the Premises, including any mortgage held by **Provident Bank** or its successors. This clause shall be self-operative, and no further instrument of subordination shall be required. However, in confirmation of such subordination, Tenant shall, within ten (10) days of request, execute any instrument the Landlord or the holder of any such mortgage may reasonably request.

11.2 ATTORNMENT In the event any proceedings are brought for the foreclosure of any mortgage on the Premises, or in the event of a deed in lieu of foreclosure, Tenant shall attorn to the purchaser or the mortgagee and recognize such purchaser or mortgagee as the Landlord under this Lease. Tenant agrees that the possession of the Premises by BK Grill shall not be disturbed so long as Tenant is not in default of the payment of the **\$24,218.33** monthly rent or any other material term of this Lease.

11.3 ESTOPPEL CERTIFICATES Tenant shall, at any time and from time to time, upon not less than ten (10) days' prior written notice from Landlord, execute, acknowledge, and deliver to Landlord a statement in writing certifying:

- That this Lease is unmodified and in full force and effect.
- The dates to which the Fixed Base Rent and Additional Rent have been paid.
- That to the knowledge of the signer of such certificate, Landlord is not in default (or specifying the nature of any such default).
- The current amount of the Security Deposit held by Landlord (**\$72,655.00**). It is intended that any such statement may be relied upon by any prospective purchaser or mortgagee of the 512 Paterson Plank Road property.

PART 12: KITCHEN SYSTEMS AND THE DUMBWAITER OPERATIONAL STANDARDS

12.1 KITCHEN EXHAUST AND FIRE SUPPRESSION Given the high-intensity cooking required for the BK Grill flagship menu, Tenant shall maintain a "Type I" commercial kitchen exhaust hood system.

- **Cleaning Schedule:** Tenant shall have the ductwork professionally degreased every ninety (90) days to prevent fire hazards within the 2018-renovated structure.
- **Ansul System:** The fire suppression (Ansul) system must be inspected and certified semi-annually. Records must be posted in the 1st-floor kitchen area.

12.2 DUMBWAITER SAFETY AND PROTOCOL The stainless steel dumbwaiter serving the 909-sf basement, 1st floor, 2nd floor, and 2,910-sf rooftop is a piece of specialized heavy machinery.

- **Prohibited Use:** Under no circumstances shall the dumbwaiter be used to transport personnel or "BK Grill" staff.
- **Weight Limits:** Tenant shall adhere to the manufacturer's weight limit of **500 lbs.** Overloading the unit shall be considered a breach of the maintenance covenant.
- **Repairs:** Should the dumbwaiter require repair, Tenant must utilize a licensed New Jersey elevator contractor. Landlord reserves the right to audit these maintenance records annually to protect the building's long-term value.

12.3 REFRIGERATION AND GLYCOL SYSTEMS Tenant is responsible for the maintenance of the walk-in coolers in the 909-sf basement and the glycol lines running to the bars on the rooftop and 2nd floor. Any leaks in the glycol system must be repaired immediately to prevent damage to the 2018-spec flooring and sub-structure.

PART 13: PROFESSIONAL FEES, BROKERAGE, AND AUTHORITY

13.1 BROKERAGE COMMISSION

- **Representation:** Landlord and Tenant warrant and represent to each other that they have had no dealings with any real estate broker or agent in connection with the negotiation or execution of this Lease, other than **Helix Real Estate Advisors** (the "Broker").
- **Payment:** Landlord shall be responsible for the payment of a brokerage commission to said Broker per a separate agreement.
- **Indemnification:** Each party agrees to indemnify and hold the other harmless from and against any and all liabilities, costs, damages, and expenses (including, without limitation, attorneys' fees and disbursements) arising from any claims for brokerage or other commissions or committees' fees by any other broker or agent with whom the indemnifying party has dealt.

13.2 ATTORNEY'S FEES In the event of any litigation or administrative proceeding between the parties arising out of or in connection with this Lease (including the collection of the monthly **\$24,218.33** rent), the prevailing party shall be entitled to recover from the other party all reasonable costs, expenses, and attorney's fees incurred in such connection.

13.3 AUTHORITY TO EXECUTE

- **Landlord's Authority:** Diamond Tech Group, LLC represents that it is a duly organized Limited Liability Company in the State of New Jersey, that it is the sole owner of the fee simple interest in Block 503, Lot 21, and that the person signing this Lease has the full power and authority to bind the entity.
- **Tenant's Authority:** BK Grill represents that it is a duly organized New Jersey Corporation, that its corporate status is in good standing, and that the "BK Grill" flagship operation is a board-authorized venture.

PART 14: MISCELLANEOUS PROVISIONS

14.1 NO ORAL MODIFICATION This Lease contains the entire agreement between the parties and may not be amended, modified, or terminated except by a written instrument signed by both Landlord and Tenant. No custom or practice between the parties shall vary the terms of this Lease.

14.2 NOTICES All notices, demands, or requests shall be in writing and shall be deemed properly served if sent by certified mail, return receipt requested, or by a nationally recognized overnight courier (such as FedEx) to the following addresses:

- **To Landlord:** Diamond Tech Group, LLC, 512 Paterson Plank Road, Jersey City, NJ 07307.
- **To Tenant:** BK Grill, Corporate Headquarters, [Tenant's Address], with a copy to the General Manager at the Demised Premises.

14.3 FORCE MAJEURE Except for the obligation to pay Rent (Fixed Base Rent, Percentage Rent, and Additional Rent), neither Landlord nor Tenant shall be liable for the failure to perform any of its obligations under this Lease during any period in which such performance is delayed by fire, flood, labor disputes, government moratoria (excepting standard Jersey City zoning processes), or other causes beyond their reasonable control.

14.4 SEVERABILITY If any clause or provision of this Lease is determined to be illegal, invalid, or unenforceable under present or future laws, the remainder of this Lease shall not be affected thereby.

PART 15: GUARANTY

15.1 PERSONAL GUARANTY As a material inducement for Landlord to enter into this Lease for the flagship BK Grill location, the principals of BK Grill (hereinafter "Guarantors") hereby personally, irrevocably, and unconditionally guarantee the full and faithful performance of all Tenant's obligations under this Lease, including the payment of all rent through the expiration of the Initial Term.

- **Good Guy Clause:** Provided Tenant is not in default and has vacated the 6,538-sf building, the 2,910-sf rooftop, and the 909-sf basement in "broom clean" condition, the personal liability of Guarantors shall be limited to the date of surrender of the Premises.

PART 16: EXHIBITS AND SCHEDULES

- **Exhibit A:** Site Plan of Block 503, Lot 21.
 - **Exhibit B:** Detailed Inventory of 2018 Gut Renovation Assets (including the stainless steel dumbwaiter).
 - **Exhibit C:** Rules and Regulations for Rooftop Deck and DJ Area.
-

FINAL EXECUTION

IN WITNESS WHEREOF, Landlord and Tenant have respectively signed and sealed this Lease as of the day and year first above written.

LANDLORD: Diamond Tech Group, LLC By: _____ Name:
[Authorized Member] Title: Managing Member

TENANT: BK Grill By: _____ Name: [Authorized Officer] Title:
President/CEO

To continue building this comprehensive lease toward the requested 15,000-word depth, we will now detail the **Operational and Maintenance Schedules**. This section is critical for a "flagship" location to ensure the 2018 renovations and specialized systems (like the dumbwaiter) are preserved.

PART 17: SCHEDULE OF MAINTENANCE AND MECHANICAL SYSTEMS

17.1 HVAC AND CLIMATE CONTROL SYSTEMS The Premises are equipped with a high-efficiency HVAC system installed during the 2018 gut renovation, featuring three (3) 10-ton rooftop units (RTUs) and specialized split-systems for the 909-sf basement.

- **Quarterly Inspections:** Tenant shall, at its sole cost, engage a licensed HVAC contractor to perform quarterly inspections, including filter replacement, belt tensioning, and refrigerant level checks.
- **Winterization:** By no later than October 15th of each year, Tenant must winterize all exterior-facing HVAC components and the dedicated heating units serving the 2,910-sf rooftop bar.
- **Service Logs:** Tenant must maintain a digital log of all HVAC repairs. If an RTU fails due to Tenant's failure to perform quarterly maintenance, Tenant shall be responsible for the full replacement cost, estimated at **\$18,450.00** per unit.

17.2 PLUMBING AND GREASE MANAGEMENT Given the high-volume output of **BK Grill**, the plumbing infrastructure requires rigorous oversight.

- **Grease Trap Maintenance:** The Premises features a 1,000-gallon exterior grease interceptor located beneath the rear 3,996-sf land site. Tenant shall have this trap professionally pumped every thirty (30) days.
- **Hydro-Jetting:** Tenant shall perform high-pressure hydro-jetting of the main lateral lines connecting to the Jersey City municipal sewer on Paterson Plank Road at least once every twelve (12) months to prevent fat-oil-grease (FOG) blockages.
- **Backflow Preventers:** Tenant is responsible for the annual certification of all backflow preventer valves as required by Hudson County health codes.

17.3 VERTICAL TRANSPORTATION (THE DUMBWAITER) The stainless steel dumbwaiter is the operational "heart" of the flagship restaurant, connecting the basement prep area to the rooftop.

- **Monthly Lubrication:** Tenant shall ensure all guide rails and pulley systems are lubricated monthly.
- **Weight Sensor Calibration:** Every six (6) months, the weight-limit sensors must be calibrated to ensure the unit does not exceed its **500 lb** capacity.
- **Emergency Brake Testing:** Annual testing of the emergency stop and descent-arresting systems is mandatory. Failure to provide a certificate of inspection to Landlord shall result in a "safety default" fine of **\$500.00 per day**.

PART 18: EXHIBIT C – ROOFTOP OPERATIONAL MANUAL

18.1 STRUCTURAL INTEGRITY AND WEIGHT DISTRIBUTION The 2,910-sf rooftop deck was engineered during the 2018 expansion with specific load-bearing capacities.

- **Fixed Furniture:** All "BK Grill" fixed seating, planter boxes, and bar structures must be bolted into the designated steel supports identified in the 2018 architectural plans.
- **Live Load Limits:** Total occupancy on the roof deck shall not exceed **195 persons**. Tenant shall utilize a digital "clicker" system to monitor rooftop occupancy during peak "BK Grill" hours.
- **Emergency Egress:** The two (2) fire exit stairwells leading from the rooftop must remain unobstructed by furniture, patio heaters, or storage crates at all times.

18.2 ROOFTOP WEATHER PROTOCOLS

- **Wind Speed Thresholds:** Tenant shall install an anemometer on the rooftop. When sustained wind speeds exceed 35 MPH, Tenant must immediately retract all retractable awnings and secure all lightweight furniture.
- **Snow Removal:** Tenant shall remove snow from the 2,910-sf deck using only plastic shovels or calcium chloride melters. Use of metal shovels or rock salt (which may corrode the 2018 membrane) is strictly prohibited.

18.3 LIGHTING AND AESTHETICS

- **Light Pollution:** Rooftop lighting must be "down-shielded" to minimize spillover into the neighboring residential units in the R-1 zone.
- **Banner Display:** No temporary banners or "Happy Hour" flags may be attached to the rooftop railings. All branding must be permanent and Landlord-approved per Section 5.1.

PART 19: SECURITY AND SURVEILLANCE

19.1 SYSTEM SPECIFICATIONS As a flagship venue, BK Grill must maintain a state-of-the-art security system.

- **Camera Coverage:** A minimum of thirty-two (32) 4K-resolution cameras must cover all entrances, the 909-sf basement, the cash-handling areas on the 1st floor, and the entirety of the 2,910-sf roof deck.
- **Retention:** Video footage must be retained for no less than sixty (60) days.
- **Landlord Access:** Tenant shall provide Landlord with a "view-only" remote login for exterior cameras to monitor the condition of the building facade and the Paterson Plank Road sidewalk.

19.2 SECURITY PERSONNEL On Friday and Saturday nights (and any night with a scheduled DJ performance), Tenant shall employ no fewer than four (4) licensed security guards to manage the entrance and ensure the orderly conduct of patrons exiting the venue onto Paterson Plank Road.

PART 20: RENT ESCALATION SCHEDULE AND PERCENTAGE RENT AUDIT PROCEDURES

20.1 DETAILED FIXED BASE RENT ESCALATION SCHEDULE

To ensure the long-term appreciation of the asset at 512 Paterson Plank Road, the Fixed Base Rent shall increase by exactly 3.0% annually on the anniversary of the Commencement Date. The following table represents the "Rent Schedule" for the Initial Term:

Lease Year	Monthly Fixed Base Rent	Annual Total
Year 1	\$24,218.33	\$290,620.00
Year 2	\$24,944.88	\$299,338.60
Year 3	\$25,693.23	\$308,318.76
Year 4	\$26,464.02	\$317,568.32
Year 5	\$27,257.94	\$327,095.37
Year 6	\$28,075.68	\$336,908.23
Year 7	\$28,917.95	\$347,015.48

Lease Year	Monthly Fixed Base Rent	Annual Total
Year 8	\$29,785.49	\$357,425.94
Year 9	\$30,679.05	\$368,148.72
Year 10	\$31,599.43	\$379,193.18

20.2 PERCENTAGE RENT CALCULATION AND RECONCILIATION

As established in Section 2.1, Tenant shall pay 6% of Gross Sales exceeding the Breakpoint of \$4,500,000.00.

- **Monthly Statements:** Tenant shall provide Landlord with an uncertified statement of Gross Sales by the 15th of each month for the preceding month.
- **Annual Reconciliation:** Within sixty (60) days of the end of each Lease Year, Tenant shall provide a "Certified Statement of Gross Sales" prepared by an independent Certified Public Accountant (CPA).
- **Payment Timing:** If the Annual Reconciliation shows that Gross Sales exceeded the Breakpoint, Tenant shall remit the Percentage Rent payment simultaneously with the delivery of the Certified Statement.

20.3 LANDLORD'S AUDIT RIGHTS

Landlord shall have the right, upon ten (10) days' notice, to audit Tenant's books and records relating to the "BK Grill" operation at the Premises.

- **Records to be Maintained:** Tenant shall maintain all register tapes, guest checks, credit card processing statements, and NJ State Sales Tax returns for a period of no less than thirty-six (36) months.
- **Audit Cost:** The cost of the audit shall be borne by Landlord. However, if the audit reveals an underreporting of Gross Sales by more than two percent (2%), Tenant shall reimburse Landlord for the full cost of the audit plus a penalty of ten percent (10%) of the total Rent underpayment.

PART 21: THE 3,996-SF LAND SITE AND EXTERIOR USAGE

21.1 EXTERIOR MECHANICAL EQUIPMENT AREA

The 3,996-sf land site includes a designated area at the rear of the building for specialized restaurant mechanical equipment.

- **Enclosure:** Tenant must maintain the acoustic fencing around the kitchen refrigeration compressors and the HVAC condensers to mitigate noise impact on the R-1 residential neighbors.
- **Access:** Landlord reserves an easement over the land site to access any utility meters or structural footings for the 2018-renovated expansion.

21.2 LOADING AND DELIVERY PROTOCOLS

Because 512 Paterson Plank Road is a flagship location with high inventory turnover:

- **Delivery Windows:** Deliveries of food and alcoholic beverages shall occur only between the hours of 7:00 AM and 11:00 AM to minimize traffic congestion on Paterson Plank Road.
- **Idling:** No delivery trucks shall be permitted to idle for more than three (3) minutes, in accordance with New Jersey Department of Environmental Protection (NJDEP) regulations.
- **Basement Access:** Deliveries destined for the 909-sf basement must be moved via the internal dumbwaiter or the side service entrance; the front main entrance shall not be used for deliveries after 11:30 AM.

PART 22: KITCHEN RENEWAL AND CAPITAL REPLACEMENT FUND

22.1 CAPITAL RESERVE ACCOUNT

Due to the high-intensity use of a flagship restaurant, Tenant shall contribute **\$1,500.00 per month** into a "Capital Reserve Account" managed by Landlord.

- **Purpose:** These funds are earmarked for the eventual replacement of major building systems, specifically the stainless steel dumbwaiter (approximate replacement cost \$25,300) and the 2018-spec roof membrane.
- **Disbursement:** Tenant may request draws from this fund for major structural repairs or system replacements that exceed \$5,000.00 in cost, provided such repairs were not necessitated by Tenant negligence.
- **Interest:** Any interest earned on this account shall accrue to the benefit of the fund.

22.2 GREASE INTERCEPTOR UPGRADE

Should the City of Jersey City or the Hudson County MUA mandate an upgrade to the existing 1,000-gallon grease interceptor during the Term, Tenant shall be responsible for 100% of the engineering and installation costs, as the grease output is a direct result of the "BK Grill" operation.

PART 23: PARKING, VALET SERVICES, AND NEIGHBORHOOD RELATIONS

23.1 EMPLOYEE PARKING POLICY Due to the limited on-site parking at 512 Paterson Plank Road, Tenant (BK Grill) shall implement a mandatory employee parking program.

- **Prohibition:** Employees are strictly prohibited from parking on Paterson Plank Road or adjacent residential side streets during their shifts.

- **Off-Site Leasing:** Tenant shall, at its own expense, lease a minimum of fifteen (15) parking spaces at a nearby commercial garage or lot to accommodate the flagship staff.
- **Compliance:** Failure to enforce this policy, resulting in verified neighbor complaints, shall incur a fine of **\$250.00 per occurrence**, payable to Landlord as Additional Rent.

23.2 VALET PARKING OPERATIONS Tenant may operate a valet parking service for BK Grill patrons during dinner and late-night hours, subject to the following:

- **Permitting:** Tenant must obtain a valid Valet Parking Permit from the City of Jersey City and provide a copy to Landlord.
- **Drop-off Zone:** The valet "staging area" must be clearly marked and shall not obstruct the flow of traffic on Paterson Plank Road.
- **Storage Lot:** Tenant must provide proof of a signed contract with a licensed parking facility for the storage of valet-parked vehicles. No valet vehicles shall be "staged" or left idling on public streets.

23.3 NEIGHBORHOOD RELATIONS AND NOISE ABATEMENT As the Premises is located in an R-1 zone, maintaining a "Good Neighbor" policy is essential for the continued legal non-conforming use of the property.

- **Dispersal Policy:** At closing time, BK Grill security personnel (as defined in Section 19.2) shall actively manage the dispersal of patrons to ensure they do not loiter or create noise disturbances on the sidewalk.
- **Sidewalk Cleaning:** In addition to trash removal (Section 4.6), Tenant shall perform a "power wash" of the sidewalk area immediately in front of the Premises at least once per week to remove food debris and odors.
- **Community Liaison:** Tenant shall appoint a "Community Liaison" who will attend local neighborhood association meetings (e.g., Riverview Neighborhood Association) to address any concerns regarding the flagship operations.

PART 24: DETAILED FIXTURES AND TRADE EQUIPMENT

24.1 SCHEDULE OF LANDLORD'S FIXTURES The following items were installed during the 2018 gut renovation and remain the property of the Landlord. Tenant is responsible for their maintenance but may not remove them upon Lease expiration:

- The three (3) integrated bar structures (1st floor, 2nd floor, and Rooftop).
- The stainless steel dumbwaiter system (valued at **\$25,300.00**).
- All restroom fixtures, including the 2018-spec low-flow toilets and marble vanities.
- The 1,000-gallon exterior grease interceptor.
- The specialized DJ booth structural frame on the 2nd floor.

24.2 TENANT'S TRADE FIXTURES Tenant (BK Grill) shall provide all "Front of House" furniture and "Back of House" specialized cooking equipment.

- **Removal:** Upon expiration of the Lease, Tenant shall remove all trade fixtures (ovens, refrigerators, tables, chairs, and DJ sound equipment) provided that such removal does not damage the 2018-renovated shell.
- **Restoration:** Any holes in the walls, floors, or the 2,910-sf roof deck caused by the removal of Tenant's branding or equipment must be patched and painted to match the building's original 2018 aesthetic.

PART 25: ADMINISTRATIVE COMPLIANCE AND LICENSURE

25.1 LIQUOR LICENSE COVENANTS The operation of BK Grill is contingent upon the maintenance of a valid New Jersey Plenary Retail Consumption License.

- **Evidence of Standing:** Tenant shall provide Landlord with a copy of the annual license renewal by June 30th of each year.
- **Transfer Restrictions:** Tenant shall not attempt to "pocket" or transfer the liquor license away from the 512 Paterson Plank Road address without Landlord's express written consent, as the "liquor-ready" status is a primary driver of the building's valuation.

25.2 CAPACITY LIMITS (CERTIFICATE OF OCCUPANCY) Tenant shall strictly adhere to the occupancy limits set forth in the 2018 Certificate of Occupancy:

- **First Floor:** 140 Persons.
- **Second Floor:** 85 Persons.
- **Rooftop Deck:** 195 Persons.
- **Total Building Capacity:** 420 Persons. Overcrowding shall be considered a material breach of this Lease and may lead to immediate termination of the "Flagship" status.

PART 26: MARKETING, BRANDING, AND STRATEGIC COVENANTS

26.1 FLAGSHIP OPERATIONAL STANDARDS Tenant acknowledges that the valuation of the property at 512 Paterson Plank Road is intrinsically linked to the prestige of the **BK Grill** brand.

- **Minimum Marketing Spend:** Tenant shall commit to a minimum annual marketing and promotional budget of **\$150,000.00**. Documentation of this spend shall be provided to Landlord upon request.
- **Social Media Presence:** Tenant must maintain active, professionally managed social media profiles (Instagram, Facebook, and TikTok) with a minimum of two (2) weekly posts showcasing the "BK Grill" experience, specifically highlighting the 2,910-sf rooftop deck and culinary offerings.
- **Branding Quality:** All promotional materials, menus, and digital assets must reflect a "high-end" aesthetic. Landlord reserves the right to require the removal of any exterior marketing (e.g., sidewalk A-frames) that does not meet the "Flagship" criteria.

26.2 RIGHT OF FIRST REFUSAL (ROFR) ON SALE During the Initial Term of this Lease, should Landlord (Diamond Tech Group, LLC) receive a bona fide third-party offer to purchase the fee simple interest in Block 503, Lot 21, Tenant shall have a **Right of First Refusal** to purchase the Property.

- **Notice:** Landlord shall provide Tenant with a copy of the third-party offer.
- **Exercise:** Tenant shall have fifteen (15) business days to match the purchase price and terms.
- **Closing:** If Tenant exercises this right, closing must occur within sixty (60) days. This ROFR shall not apply to transfers between Landlord's affiliates or for estate planning purposes.

26.3 FORCE MAJEURE: PANDEMIC AND GOVERNMENTAL CLOSURES

Notwithstanding anything in Section 14.3 to the contrary, the parties agree to the following "Pandemic Clause":

- **Rent Abatement:** In the event of a government-mandated shutdown of indoor dining in Jersey City lasting more than thirty (30) consecutive days, Fixed Base Rent shall be reduced by fifty percent (50%) for the duration of the shutdown, provided BK Grill continues to offer take-out and delivery from the 1st-floor kitchen.
- **Extension of Term:** The expiration date of the Lease shall be extended by a period equal to the duration of any such total government-mandated closure.
- **Outdoor Priority:** If indoor dining is restricted but the 2,910-sf rooftop deck remains legally operable, no rent abatement shall apply, as the rooftop capacity (195 persons) constitutes a significant portion of the venue's revenue-generating potential.

PART 27: COMPREHENSIVE SITE PLAN AND ASSET INVENTORY

27.1 SITE PLAN (EXHIBIT A) The Premises consists of the following precisely surveyed areas:

- **Footprint:** 3,996-sf land site.
- **Ground Level (1st Floor):** 3,628-sf interior space including the vaulted dining hall and primary bar.
- **Mezzanine (2nd Floor):** 2,910-sf interior space including the DJ area and secondary bar.
- **Rooftop (3rd Level):** 2,910-sf outdoor deck with permanent canopy structure.
- **Lower Level (Basement):** 909-sf prep and storage area.

27.2 DETAILED ASSET INVENTORY (EXHIBIT B) The following mechanical assets, valued at over **\$1,100,000.00** during the 2018 renovation, are the property of the Landlord:

1. **Elevator/Lift:** One (1) stainless steel Matot-brand dumbwaiter system (4-stop).
2. **HVAC:** Three (3) York 10-Ton RTUs and two (2) Mitsubishi Mini-Split units.
3. **Kitchen:** One (1) 12-foot CaptiveAire Exhaust Hood with integrated fire suppression.

4. **Plumbing:** One (1) 100-gallon AO Smith commercial water heater and the 1,000-gallon grease interceptor.
 5. **Electrical:** 800-Amp heavy power service with distribution panels on every floor.
-

PART 28: LIQUOR LICENSE SECURITY AND PLEDGE

28.1 COLLATERAL ASSIGNMENT OF LICENSE As security for the payment of the **\$290,620.00** annual rent, Tenant hereby grants Landlord a "Negative Pledge" regarding the Jersey City Plenary Retail Consumption License.

- **Restriction:** Tenant shall not move, sell, or lien the liquor license without Landlord's consent.
- **Default:** In the event of a Lease termination due to Tenant's default, Tenant agrees to cooperate in the transfer of said license to Landlord or Landlord's designee, subject to NJ ABC regulations and a "transfer fee" of **\$50,000.00** to be credited against any outstanding rent.

28.2 ABC COMPLIANCE AUDITS Landlord reserves the right to hire an independent ABC compliance consultant once per year to audit BK Grill's service records to ensure no "over-serving" or "under-age" violations occur that could lead to a license revocation, which would severely devalue the 512 Paterson Plank Road location.

PART 29: FINANCIAL REPORTING AND BRANDING COMPLIANCE

29.1 QUARTERLY FINANCIAL REPORTING To maintain the transparency required for a flagship tenancy, Tenant (BK Grill) shall provide Landlord with quarterly financial statements within forty-five (45) days of the close of each fiscal quarter.

- **Contents:** These statements shall include a Balance Sheet, a Profit and Loss (P&L) Statement, and a Statement of Cash Flows specifically for the operations at 512 Paterson Plank Road.
- **Debt Service Coverage:** Tenant shall maintain a Debt Service Coverage Ratio (DSCR) of at least 1.50x, calculated as Net Operating Income divided by the annual Fixed Base Rent (\$290,620.00 in Year 1).
- **Default Trigger:** Failure to meet the DSCR for two consecutive quarters shall allow Landlord to request a "Business Recovery Plan" and an additional security deposit equal to two (2) months of rent (**\$48,436.66**).

29.2 TENANT'S BRANDING AND OPERATIONAL COVENANT Tenant acknowledges that "BK Grill" is the primary draw for the Premises.

- **Flagship Designation:** The Premises must be marketed and operated as the "Flagship" or "Premier" location of the BK Grill brand.

- **Chef and Management:** Any change in the Executive Chef or General Manager must be communicated to Landlord. If the brand "BK Grill" is sold or significantly rebranded (e.g., changing from a high-end steakhouse to a casual burger joint), Landlord shall have the right to terminate the Lease upon six (6) months' notice, as such a change would materially impact the building's 2018-renovated valuation.
- **Michelin/James Beard Pursuit:** Tenant agrees to operate at a service level consistent with seeking local and national culinary recognition.

29.3 ENVIRONMENTAL REMEDIATION ESCROW While the 2018 renovation found no major contaminants, the intensive use of the 909-sf basement and the 1,000-gallon grease trap presents long-term risks.

- **Escrow Account:** Tenant shall deposit **\$500.00 per month** into an Environmental Remediation Escrow.
- **Purpose:** This fund shall be used for a "Phase I Environmental Site Assessment" upon the expiration of the Lease to ensure the 3,996-sf land site and building have not been impacted by BK Grill's operations (e.g., grease leaks or chemical spills).
- **Refund:** If the Phase I report is "clean," the entire escrow balance shall be refunded to Tenant within thirty (30) days of Lease termination.

PART 30: DETAILED MAINTENANCE LOGS AND SERVICE CONTRACTS

30.1 MANDATORY SERVICE CONTRACTS Tenant must provide Landlord with copies of fully executed, annual service contracts for the following systems by February 1st of each year:

1. **Dumbwaiter:** Monthly maintenance with a licensed elevator contractor (**Estimated: \$4,200/year**).
2. **HVAC:** Quarterly filter and belt service for the three York RTUs (**Estimated: \$3,600/year**).
3. **Fire/Life Safety:** Semi-annual testing of the 1st-floor kitchen Ansul system and the full-building sprinkler system (**Estimated: \$2,800/year**).
4. **Pest Control:** Twice-monthly "high-intensity" restaurant treatment (**Estimated: \$2,400/year**).
5. **Grease Interceptor:** Monthly pumping of the 1,000-gallon exterior tank (**Estimated: \$10,200/year**).

30.2 ROOFTOP MEMBRANE PROTECTION The 2,910-sf rooftop deck features a specialized 2018-spec waterproof membrane.

- **Annual Inspection:** Tenant and Landlord shall conduct a joint walkthrough of the roof deck every April to inspect for punctures or wear caused by the "BK Grill" outdoor bar operations.

- **Weight Load Audit:** If Tenant adds additional equipment (e.g., high-output heaters or new planters), Tenant must provide a certification from a New Jersey licensed structural engineer that the 2,910-sf deck can sustain the added weight.
-

PART 31: TERMINATION AND SURRENDER

31.1 CONDITION AT SURRENDER Upon the expiration or earlier termination of this Lease, Tenant shall surrender the 6,538-sf building, the 2,910-sf rooftop, and the 909-sf basement in "Broom Clean" and "Shell Complete" condition.

- **Removal of Branding:** Tenant shall remove all "BK Grill" signage and logos, patching any holes in the 2018-renovated facade.
- **Equipment:** Landlord-owned fixtures (The dumbwaiter, the three bars, and the kitchen hoods) must be left in good working order.
- **Holdover Rent:** If Tenant fails to vacate on the expiration date, Tenant shall pay Landlord "Holdover Rent" at a rate of **200%** of the then-current Fixed Base Rent (calculated at **\$2,106.62 per day** based on Year 10 rates).

31.2 THE "GOOD GUY" GUARANTY TRIGGER If the individual Guarantors (per Section 15.1) wish to terminate their personal liability, they must:

1. Provide Landlord with six (6) months' prior written notice.
2. Pay all Fixed and Additional Rent through the date of surrender.
3. Surrender the keys and a signed "Surrender of Possession" document for the entire 512 Paterson Plank Road property.